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**What founders should
think about if looking to
raise a Series C**

Startup founders face a perplexing and even contradictory capital market in 2025, according to Sapphire Ventures partner Cathy Gao. “Capital isn’t scarce. But access to that capital is harder than ever,” she said.

Gao, who spoke at TechCrunch’s All Stage conference in July, said it’s possible for startup founders, especially those in the later Series C stage, to navigate this particular economic environment. And they need to start with a reality check.

To begin, she said, it’s important to note that only one in five startups that raise a Series A ever make it to raise a Series C. And, in the past year, the bar for raising late-stage capital has only risen; investors are no longer just chasing momentum, as many were in the last few years — they are chasing *certainty*, Gao said.

“Investors are now asking: ‘Is this company truly a winner in whatever market that they’re serving?’” Gao said. “The question really isn’t, ‘Is this company growing?’ The question has shifted to, ‘Is this company on a trajectory where the upside is really undeniable?’”

Companies raising Series C rounds should meet certain criteria. For one, they’re all category leaders, according to Gao.

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“They’re defining their categories. They have clear go-to-market and undeniable pull,” she said. “In short, they’re growing efficiently, but there’s also traction to show that these are truly the market leaders in the spaces that they operate in.”

Companies looking to raise a Series C should also remember that metrics do not always equal money. Sure, metrics are important, as are annual returns, growth, and retention, she said, but if investors are not sold on the idea that a company can truly become a leader in their respective space, then they are going to move on.

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“Investors have to explain why a company will win in the future,” she continued. For example, there are companies that don’t have amazing metrics yet somehow raise a suitable Series C round. In one case, a startup nabbed more than a \$2 billion valuation, she noted. “They were effectively able to communicate the story to investors why this

company will be a leading company over time,” Gao said of the company’s successful raise.

Another Gao rule: Continuity is better than short-term virility.

In the age of AI, companies are growing faster than investors have ever seen before, she noted. “But oftentimes it’s the case, what goes up also sharply comes down,” Gao said. “So the question is, ‘Is this growth sustainable?’”

In a Series C, investors are looking for “compounding loops,” or seeing that the company gets stronger as it scales, she said.

“Does your product get better for every new customer you sign? Does your CAC [customer acquisition cost] decrease or increase for every new user you bring on board?” she asked.

If the answer is yes, then investors will “lean in,” Gao said; if the answer is no, then investors are most likely to “lean out,” even if a company’s metrics look very strong.

Finally, she said, founders should treat fundraising like a go-to-market campaign and seek to develop relationships with VCs before pitching them for capital. Gao cited her firm as an example. Sapphire likes to invest in a company at the Series B level, but they usually have known the company for a year or longer.

“That means at the Series A, even though we’re not actively leaning in to try and raise, we’re trying to build a relationship with a company and with the founder,” she said. “We’re getting information and we’re developing a longitudinal picture of how this company has progressed.”

She said founders should start building a “lightweight investor CRM,” or a database

managing the relationships with investors.

Investors take notes while meeting with founders, and founders should do the same, she said. Founders should write down the names of partners, what they like to invest in, and what companies they've backed recently. Create a distribution list and send out periodic updates to the investors on it, she said. "This is an easy way to keep inventors in the loop."

Perhaps most importantly, however, Gao noted that a company looking to raise a Series C should not enter a fundraise until they've received a signal from multiple firms that they're interested in backing the round.

"The last thing you want to do is time the market incorrectly," she said. After all, timing is everything at the Series C level. "It's not about luck, pitching to a 50 and hoping that one says yes," she continued. "It's really about timing and planning ahead."

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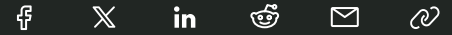
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California passes law mandating VC firms to release investments' diversity information

The law will go into effect on March 1, 2025

Dominic-Madori Davis

9:01 AM PDT · October 9, 2023

IMAGE CREDITS: DUSTYPIXEL / GETTY IMAGES

Last night, California Governor Gavin Newsom [signed into law](#) Senate Bill 54, which will require venture capital firms in the state to annually report the diversity of the founders they are backing. This is the United States' first

piece of legislation that aims to increase diversity within the venture capital landscape. The law will go into effect on March 1, 2025.

Once the law goes into effect, any venture capital firm operating in the state (that includes VC firms headquartered in California, have operations in the state, have invested in companies that operate in or are based in the state, or have received investments from California residents) must report, for example, the race of the people they back, as well as their disability status and whether they're a member of the LGBTQ+ community. It notes that disclosing information is voluntary and founding teams won't be penalized for not answering. The bill [also requires](#) firms to collect and release their diversity data to the public.

The information collected will be aggregated before being publicly released, similar to how the state handles information about wages. Those who fail to comply with the new law may face a penalty as decided by the courts.

"This bill resonates deeply with my commitment to advance equity and provide for greater economic empowerment of historically underrepresented communities," Gov. Newsom [wrote in his letter](#) signing the bill.

New California law would force firms to report diversity metrics



The bill requires venture capital firms operating in California to report the diversity breakdown of the founders they fund to the state.

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SB 54 will be added to the existing Business and Professional Code as "*Chapter 40. Fair Investment Practices by Investment Advisers*," and will also amend part of the Government Code in relation to professions.



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Tech policy advocates are thrilled that the bill has been passed. Funding to startups led by women, Black founders, or Latinx founders has never [risen more than 5%](#) in any given year, and there is hope that this bill will provide more transparency into how venture capital dollars are allocated, especially given that California is one of the biggest markets for venture capital investments.

“With Governor Newsom’s signing of SB 54, California is extending its nation-leading efforts to expand equity by bringing transparency to venture capital investment decisions with the goal of helping more women and minority-owned startups access the VC lifeline upon which entrepreneurs depend,” said Sen. Nancy Skinner, who sponsored the bill.

Allison Byers, a tech policy advocate who helped ideate the bill, told TechCrunch that she wants this law to encourage funds to allocate more venture dollars to women and people of color. She also hopes that this law increases awareness of funding discrepancies and reveals the funds that are supporting diverse founders and those that do not.

“This transparency will empower women and people of color to make informed decisions about where to invest their valuable time,” she added. “Often, we dedicated a significant portion of our time pitching to fund managers who express interest in our opportunities but whose firms do not ultimately provide funding to individuals in our demographic groups.”

Before the bill was passed in the Senate, its critics, including the National Venture Capital Association and TechNet, a trade association that hails itself as “a bipartisan network of technology CEOs and senior executives,” worried the bill could harm VCs.

The NVCA wrote in a letter to Skinner that the bill could produce “misleading and counterproductive data that would hurt the cause of diversity, equity, and inclusion efforts while creating unnecessary costs and risk for California venture capitalists.”

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TechNet, meanwhile, worried that VC firms would face potential liabilities resulting from the release of sensitive information to the state's civil rights department.

TechNet and NVCA did not immediately respond to requests for comment.

Both organizations, however, had said they supported the notion of boosting diversity within venture capital. In Newsom's signing letter, he said the bill's language needed to be cleaned up, saying that there were a few "problematic provisions and unrealistic timelines" currently outlined.

The cleanup will be part of the 2024-2025 Governor's Budget to "ensure this important policy to improve the diversity of venture capital investments can be implemented properly," he wrote.

Byers said the next goal is to help push forth matching bills throughout the nation. "We are already in discussions with leaders in other states and countries who are interested in enacting similar policies," she said.

Update: *This story was updated to clarify who the funding disparities are impacting.*

This story was updated again on Oct. 11 to clarify that teams will be asked whether anyone is a member of the LGBTQ+ community and not just their sexual orientation.

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IMAGE CREDITS: WE ARE / GETTY IMAGES

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MassMutual launches \$100M fund to invest in diverse founders

Dominic-Madori Davis — 6:00 AM PDT · April 13, 2023

Insurance company MassMutual announced Thursday the launch of a new impact investing [MM Catalyst Fund of \\$100 million](#). The money will be used to continue investing in Massachusetts-

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based diverse-led companies. It's close to finishing the deployment of its first MM Catalyst Fund of \$50 million, which launched two years ago and has so far invested in 16 businesses throughout the state.

This second MM Catalyst fund will continue with the

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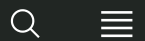
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investors can adjust themselves to better commit toward backing diverse funds and fund managers.

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Liz Roberts, the company's head of impact investments, said that MassMutual looked at the facts: The Black, Indigenous and Latino communities make up more than a third of the U.S. population. Less than 5% of all VCs identify as Black or Latino, and, at the same time, less than 5% of all VC funds are allocated to Black and Latino founders.

Funding for Black and Latino founders within Massachusetts is particularly fraught. BostInno [reports](#) that Black startup founders raised \$110 million, which was just 0.56% of the overall venture capital allocated in the state last year. The year before, the same founders raised 0.45% of all capital raised. Latino founders raised about 3.4% of the state's venture capital in 2022, up from the 2% raised in 2021.

“There is a correlation between who gets the capital and who’s making the decisions,” Roberts said. “It’s often a systemic barrier and lack of access issue, not a traction issue, as to why these companies aren’t getting funding.”



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MassMutual allocates money to diverse fund managers and to founders within the state in order to make the most impact. It announced in October an [additional \\$100 million](#) to use toward its First Fund Initiative, and after the success of its first founder-focused impact fund, the next step was naturally finding a way to combine the missions, giving diverse fund managers the opportunity to back diverse companies.

For the first MM Catalyst Fund, around 65% of the money went to Black CEOs; over half of the portfolio companies within the fund are either female-founded or female-led, and over 60% of the fund’s total investments are in women-led companies.

Roberts said Black founders, in particular, within the MM Catalyst portfolio have seen “incredible traction growth” because many of them were so capital efficient and really only needed a boost in capital to take them to the next level. When initially looking at launching the fund, Roberts said the team assessed the common myths as to why such founders do not receive funding: Was it a pipeline problem, or was it a supply problem? MassMutual concluded that it was a sourcing problem, and changes needed to be made internally in order to help level the playing field.

MassMutual redefined the way it did due diligence, adjusting its benchmarks and expected hurdles for founders and fund managers. Instead of looking at where or if they went to business school or previous exits, it looked at a founder’s ability to overcome adversity or if they are coachable. MassMutual has an open application on its website rather than relying solely on warm introductions.

“Our team’s status quo alternatives to sourcing, screening and selecting deals include intentional and broad sourcing to lower barriers for overlooked founders, taking a consultative, thoughtful approach to meet innovators where they are at, and prioritizing companies with scalable business models tied to social impact, which come in many shapes,” Jason Allen, a portfolio manager who works alongside Roberts, told TechCrunch+.

So far, MassMutual’s efforts are fruitful and, if adopted by many more power players, could lead to meaningful change in the industry. “We would like to have more peers investing alongside us with this sort of thesis and understanding,” Roberts said. “We’re very small in a large opportunity.”

Since the murder of George Floyd in 2020, people have called on those with power to wield it for good and eliminate the institutional discrimination that

has kept communities back. Doing this means adjusting to the reality of where people are rather than where society has for centuries called on them to be.

“Breaking barriers and advancing racial equity can only be achieved with innovative, agile approaches that will drive real change,” Allen said. “And that’s what we’re aiming to do through the MM Catalyst Fund.”

This article was updated to reflect Liz Robert’s title at the company.

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Why aren't female founders getting a bigger piece of the pie? Theories abound

Anita Ramaswamy — 9:00 AM PST · January 19, 2022

Less than 2% of venture capital funding went to all-female founding teams in 2021, marking a five-year low, [new data from PitchBook shows](#). All-female founding teams did receive 83% more funding in 2021 in absolute dollars compared to the year prior, but that's likely because U.S. startups overall raked in a record amount of cash last year.

IMAGE CREDITS: [PONOMARIOVA-MARIA](#)

Still, the rising tide did not lift all boats. The share of funding all-female founding teams earned was down for the second year in a row, [according to PitchBook](#).

So how is it that despite the recent boom in startup funding, the venture capital industry is actually becoming an even tougher place for women to raise money?

Venture investor Del Johnson hosted a Twitter Spaces conversation last week that fostered discussion about whether and why all-female founding teams appear uniquely disadvantaged in the fundraising process — despite that the number

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of women in venture capital has increased in recent years.

One theory shared by Johnson is that “male power brokers [are] more likely to select or fund the women VCs who share their own patriarchal biases, and keep out the many women who don’t share those views,” he told TechCrunch in a written message. In short, women VCs are just as inclined to favor male founders as their male peers.

Serial entrepreneur Gentry Lane, who was part of the discussion and spoke with TechCrunch afterward, similarly believes that the venture industry is inherently biased against women. How else explain that while top VCs have been more accessible than ever because of Zoom and online interactions, the share of funding going to all-female founders is dropping and not rising? It’s “systemic misogyny,” says Lane, who is the CEO and founder of venture-backed national security software company ANOVA Intelligence.

Yet there were other theories surfaced in the Twitter Spaces conversation. VCs are more comfortable hosting events dedicated to helping underrepresented founders than actually funding them, suggested some of the participants. Instead of writing checks, investors engage in so-called virtue signaling, observed these frustrated entrepreneurs.



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Lane also suggested that VCs’s enduring focus on presentations and pitch decks rather than “normal, human conversation” continues to negatively impact underrepresented founders, who typically have less experience in the former categories.

Investment stage could also play a role, discussion participants noted, as much of the increase in venture funding overall in 2021 was driven by later-stage rounds, [which tend to be dominated by male founders](#).

While speculation abounds, there was a silver lining in that PitchBook report. To wit, the PitchBook data shows that VC-backed companies with at least one female founder captured over 25% of last year’s total venture deals by count, representing 17.6% of overall deal value. Founding teams with both men and women accounted for the vast majority of those deals.

Shriya Nevatia of accelerator program On Deck cited the PitchBook data as a reason for optimism, pointing out the recent increase in the percentage of deals with at least one female founder [in a tweet yesterday](#). Wrote Nevatia: “This is sooo much closer to 50% — up from 11.8% in 2008 — that’s quite fast!!”

She then tweeted: “We *ARE* making progress, keep it up yall.”

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